

34-2f Changes in Taxes

The other important instrument of fiscal policy, besides the level of government purchases, is the level of taxation. When the government cuts personal income taxes, for instance, it increases households' take-home pay. Households will save some of this additional income, but they will also spend some of it on consumer goods. Because it increases consumer spending, the tax cut shifts the aggregate-demand curve to the right. Similarly, a tax increase depresses consumer spending and shifts the aggregate-demand curve to the left.

The size of the shift in aggregate demand resulting from a tax change is also affected by the multiplier and crowding-out effects. When the government cuts taxes and stimulates consumer spending, earnings and profits rise, further stimulating consumer spending. This is the multiplier effect. At the same time, the increase in income raises money demand, increasing interest rates. Higher interest rates mean a higher cost of borrowing, which reduces investment spending. This is the crowding-out effect. Depending on the sizes of the multiplier and crowding-out effects, the shift in aggregate demand could be larger or smaller than the tax change that causes it.

In addition to the multiplier and crowding-out effects, there is another important determinant of the size of the shift in aggregate demand that results from a tax change: households' perceptions about whether the tax change is permanent or temporary. For example, suppose that the government announces a tax cut of \$1,000 per household. In deciding how much of this \$1,000 to spend, households must ask themselves how long this extra income will last. If they expect the tax cut to be permanent, they will view it as adding substantially to their financial resources and, therefore, increase their spending by a large amount. In this case, the tax cut will have a large impact on aggregate demand. By contrast, if households expect the tax change to be temporary, they will view it as adding only slightly to their financial resources and, therefore, increase their spending by only a small amount. In this case, the tax cut will have a small impact on aggregate demand.

An extreme example of a temporary tax cut was the one announced in 1992. In that year, President George H. W. Bush faced a lingering recession and an upcoming reelection campaign. He responded to these circumstances by announcing a reduction in the amount of income tax that the federal government would withhold from workers' paychecks. Because legislated income tax rates did not change, however, every dollar of reduced withholding in 1992 meant an extra dollar of taxes due on April 15, 1993, when income tax returns for 1992 were to be filed. Thus, this "tax cut" actually represented only a short-term loan from the government. Not surprisingly, the impact of the policy on consumer spending and aggregate demand was relatively small.

FYI

How Fiscal Policy Might Affect Aggregate Supply

So far, our discussion of fiscal policy has stressed how changes in government purchases and changes in taxes influence the quantity of goods and services demanded. Most economists believe that the short-run macroeconomic effects of fiscal policy work primarily through aggregate demand. Yet fiscal policy can potentially influence the quantity of goods and services supplied as well.

For instance, consider the effects of tax changes on aggregate supply. One of the *Ten Principles of Economics* in [Chapter 1](#) is that people respond to incentives. When government policymakers cut tax rates, workers get to keep more of each dollar they earn, so they have a greater incentive to work and produce goods and services. If they respond to this incentive, the quantity of goods and services supplied will be greater at each price level, and the aggregate-supply curve will shift to the right.

Economists who stress the importance of tax policy for aggregate supply rather than aggregate demand are sometimes called *supply siders*. Supply-side economists have been particularly prominent as advisers to President Donald Trump, and they were instrumental in helping design the tax cut he signed into law at the end of 2017. The large cut in corporate tax rates aimed to promote capital accumulation and long-run growth.

At times, some supply siders have argued that the influence of taxes on aggregate supply is so large that a cut in tax rates will stimulate enough additional production and income to increase tax revenue. This outcome is a theoretical possibility, but most economists do not consider it the normal case. While the supply-side effects of taxes are important to consider, they are rarely large enough to cause tax revenue to rise when tax rates fall.

Like changes in taxes, changes in government purchases can also affect aggregate supply. Suppose, for instance, that the government increases expenditure on a form of government-provided capital, such as roads. Roads are used by private businesses to make deliveries to their customers, so an increase in the quantity or quality of roads increases these businesses' productivity. Hence, when the government spends more on roads, it increases the quantity of goods and services supplied at any given price level and thereby shifts the aggregate-supply curve to the right. This effect on aggregate supply is probably more important in the long run than in the short run, however, because it takes time for the government to build new roads and put them into use.

QuickQuiz

4. If the government wants to expand aggregate demand, it can ____ government purchases or ____ taxes.
- a. increase; increase
 - b. increase; decrease
 - c. decrease; increase
 - d. decrease; decrease
5. With the economy in a recession due to inadequate aggregate demand, the government increases its purchases by \$1,200. Suppose the central bank adjusts the money supply to hold the interest rate constant, investment spending remains unchanged, and the marginal propensity to consume is $\frac{2}{3}$. How large is the increase in aggregate demand?
- a. \$400
 - b. \$800
 - c. \$1,800
 - d. \$3,600
6. If the central bank in the preceding question had instead held the money supply constant and allowed the interest rate to adjust, the change in aggregate demand resulting from the increase in government purchases would have been
- a. larger.
 - b. the same.
 - c. smaller but still positive.
 - d. negative.

